RC-001 — Records Retention, Legal Hold, and Disposal

Document control

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Classification	Internal

1. Purpose

This standard defines how long ABC CORP retains records of each type, how records under legal hold are managed, and how records are disposed of at the end of their retention period.

Retention serves three purposes: to satisfy legal and regulatory obligations, to support business operations, and to limit the volume of information ABC CORP holds beyond what is needed. Retaining records past their retention period increases both storage cost and legal exposure.

2. Scope

In scope: all ABC CORP records in any format — paper, electronic, email, chat, voicemail, database, backup.

Out of scope: information classified as Public that has no business value, and information that is a duplicate of a retained original. Duplicate copies may be disposed of at any time without regard to retention schedule.

3. Retention schedule

The following schedule applies to ABC CORP records. Where a specific regulation requires a longer period, the longer period applies.

Record type	Retention period	Trigger
Articles of incorporation, board minutes	Permanent	N/A
Financial statements, audit reports	Permanent	N/A
Tax records	7 years	Filing date
Payroll records	7 years	End of tax year
Employee personnel files	7 years after separation	Separation date
Employee expense records	5 years	Expense date
Employee benefits records	7 years after plan year end	Plan year end
Contracts (signed)	7 years after expiry	Expiry date
Purchase orders and requisitions	5 years	PO date
Vendor invoices	7 years	Invoice date
Customer contracts	7 years after termination	Termination date
Customer records (regulated)	Per regulation	N/A
Customer records (unregulated)	5 years after last activity	Last activity
Marketing materials	3 years after superseded	Superseded date

Record type	Retention period	Trigger
Internal policies (superseded)	7 years after superseded	Superseded date
Security incident records	7 years	Case closure
Access logs	1 year	Log date
System logs (operational)	90 days	Log date
Email (general)	3 years	Send/receive date
Email (contractual or regulatory)	Per record type	Per record type
Chat messages	1 year	Message date

If a record is not listed, retain for 3 years from the date of last use, or consult the Records and Information Manager.

4. Retention responsibilities

Record owners — the business function that creates or receives the record. Owners ensure records are stored in approved systems for their retention period.

Records and Information Manager — maintains the retention schedule, coordinates disposal, and manages legal hold.

Legal — determines when a legal hold applies and communicates hold requirements to the Records and Information Manager.

IT — implements technical controls for retention and disposal in the systems that hold records.

5. Legal hold

A legal hold suspends disposal of records related to a specific matter — litigation, investigation, regulatory inquiry.

Legal issues the legal hold. Once issued, the hold applies to all records within its scope, regardless of the retention schedule. Records that would otherwise have been disposed of are preserved.

Legal hold scope is defined by Legal and communicated in writing to the Records and Information Manager. Scope typically includes:

- Named individuals
- Named systems or record types
- Date ranges
- Subject matter keywords

Individual responsibilities during a legal hold:

- Do not delete records within the hold scope
- Do not move records within the hold scope to alternate storage
- Do not modify records within the hold scope, except as required for ordinary business operations
- Acknowledge the hold per the instructions from Legal

A legal hold remains in effect until Legal issues a release. Release is documented in writing and communicated to the Records and Information Manager. Records resume their normal retention schedule from the release date, with the retention period applied from the original trigger date.

6. Disposal

Scheduled disposal — records that have reached the end of their retention period are disposed of on the disposal cycle. Disposal cycles run quarterly. Records nearing disposal are reviewed by the Records and Information Manager before disposal.

Ad hoc disposal — records may be disposed of outside the cycle when:

- They are duplicates
- They were created in error
- They are transitory records with no business value

Disposal methods:

- Paper — cross-cut shredding. Confidential and Restricted records are shredded with a certificate of destruction.
- Electronic — certified data destruction for media. Database and system records are deleted per the standard procedure defined by IT.
- Backups — records in backups are disposed of as backups are rotated. Backups are not restored solely to dispose of records.

Disposal certificates are retained for 7 years.

7. Suspension of disposal

Disposal is suspended for any record type that is subject to:

- A legal hold
- An active investigation
- A regulatory inquiry
- A pending audit

The Records and Information Manager maintains the list of suspended record types.

8. Employee departures

When an employee leaves ABC CORP:

- The employee's records are not deleted; they follow the retention schedule for their record type
- The employee's email account is retained for 90 days after separation, then deleted unless subject to legal hold or a business need to retain identified by the manager
- Files owned by the employee are transferred to their manager per the manager's instructions
- Records identified as business records (as opposed to personal working files) are retained

9. Audit

The Records and Information Manager audits the retention program annually. The audit reviews:

- Compliance with the retention schedule
- Disposal documentation
- Legal hold compliance
- Storage volume trends

Audit findings are reported to Legal and to senior leadership.

10. Exceptions

Exceptions to this standard require approval from the General Counsel. Exceptions are documented and reviewed annually.

11. Related documents

- SE-001 Information Classification and Handling Standard
- SE-003 Data Subject Request and Privacy Inquiry Handling
- FI-001 Expense Reimbursement and Receipt Compliance
- SD-004 Knowledge Article Quality and Publishing Standard

12. Revision history

Version	Date	Change
3.0	04/12/2023	Retention schedule revised
3.5	03-14-2024	Legal hold section added
4.0	March 14, 2025	Expense records retention set to 5 years; email retention clarified